

SECTION M – EVALUATION FACTORS FOR AWARD

M.1 General

This section describes the evaluation factors and procedures the Government will use to evaluate proposals and make an award decision. This section is not part of the contract.

Proposals will be evaluated in accordance with the instructions contained in Section L of this solicitation.

The Government will evaluate proposals using a **best-value tradeoff process** in accordance with **FAR 12.602** and **FAR 15.101-1**.

The Government intends to evaluate proposals and may make award without discussions. Offerors are therefore encouraged to submit their best proposals initially. The Government reserves the right to conduct discussions if determined necessary by the Contracting Officer.

The Government may reject any proposal that fails to comply materially with the requirements of the solicitation.

M.2 Source Selection Process

The Government will conduct the source selection in two phases.

The phased approach is intended to reduce proposal preparation burden on offerors and evaluation burden on the Government.

Phase I

Evaluation of:

Factor 1 – Production Capability

Factor 2 – Past Performance

After completion of Phase I, the Government intends to issue advisory down-select notifications to offerors.

Phase II

Offerors invited to continue may submit proposals for:

Factor 3 – Design and Production Approach

Factor 4 – Price

The Government may:

- Invite all offerors to Phase II
- Invite only the most highly rated offerors
- Establish a competitive range in accordance with FAR 15.306(c)

An advisory notice does not constitute elimination from the competition unless the Government establishes a competitive range or otherwise excludes an offeror in accordance with FAR Part 15.

M.3 Evaluation Factors

Proposals will be evaluated using the following factors:

Phase I

- 1. Production Capability**
- 2. Past Performance**

Phase II

- 3. Design and Production Approach**
- 4. Price**

Factors are listed in order of importance below:

1. Design and Production Approach
2. Production Capability
3. Past Performance
4. Price

All non-price factors, when combined, are significantly more important than price.

As proposals become more equal under the non-price factors, price will increase in relative importance in the best-value decision.

M.4 Evaluation Methodology

Each factor will be evaluated on a stand-alone basis.

For the non-price factors, the Government will assess the **degree of confidence** that the offeror will successfully perform the requirements of the solicitation.

Confidence ratings reflect the Government's overall judgment of the offeror's ability to perform the contract successfully, based on the information provided in the proposal and any other information obtained by the Government.

The Government will document in the source selection record the basis for the assigned confidence ratings, including performance risks, deficiencies, and other aspects of the proposal that increase or decrease the Government's confidence in successful contract performance.

A proposal containing one or more deficiencies may be determined unacceptable and therefore ineligible for award.

M.5 Phase I Evaluation

M.5.1 Factor 1 – Production Capability

The Government will evaluate the extent to which the offeror demonstrates the production capability necessary to successfully construct and deliver the required vessels.

The evaluation will consider the offeror's demonstrated capability in areas such as:

- Shipyard facilities and infrastructure
- Fabrication capability and production lines
- Workforce availability and capability
- Production planning and scheduling
- Organizational structure and management processes
- Supply chain management
- Overall production capacity to execute the contract requirements

The Government will assess the level of confidence that the offeror can successfully produce and deliver the vessels with acceptable technical, cost, and schedule risk.

Production Capability will receive a **confidence rating** as described in Section M.7.

M.5.2 Factor 2 – Past Performance

The Government will evaluate the offeror's recent and relevant past performance to determine the degree of confidence the Government has in the offeror's ability to successfully perform the required work.

Past performance will be evaluated based on the recency, relevance, and quality of performance of efforts similar in size, scope, and complexity to the requirements of this solicitation.

The Government may consider information obtained from:

- References provided by the offeror
- Contractor Performance Assessment Reporting System (CPARS)
- Other Government databases

- Other sources known to the Government

Past Performance will receive a **past performance confidence rating** as described in Section M.8.

M.6 Phase II Evaluation

M.6.1 Factor 3 – Design and Production Approach

The Government will evaluate the offeror's proposed approach to vessel design, construction, testing, and delivery.

The evaluation will consider the extent to which the proposal demonstrates a feasible and effective approach to executing the requirements of the Statement of Work.

The evaluation may consider elements such as:

- Vessel design maturity
- Engineering approach
- Ability to mature the Government contract design to production readiness
- Integration of design and production activities
- Quality assurance and quality control processes
- Supply chain management
- Identification and mitigation of technical and schedule risks

The Government will assess the level of confidence that the offeror's approach will successfully deliver the required vessels in accordance with the contract requirements.

Design and Production Approach will receive a **confidence rating** as described in Section M.7.

M.6.2 Factor 4 – Price

The Government will evaluate price using the **Total Evaluated Price (TEP)**.

The TEP will be calculated using the prices proposed for the CLINs identified for evaluation purposes in Section B.

Price will be evaluated for reasonableness using price analysis techniques in accordance with FAR 15.404-1.

The Government may determine a proposal unacceptable if pricing is materially unbalanced.

M.7 Technical Confidence Ratings

Technical factors will receive one of the following ratings:

High Confidence

The Government has high confidence that the offeror understands the requirements, proposes a sound approach, and will successfully perform the contract with little or no Government intervention.

Some Confidence

The Government has some confidence that the offeror understands the requirements and proposes an approach that will likely result in successful contract performance with some Government intervention.

Low Confidence

The Government has low confidence that the offeror understands the requirements or proposes an approach that will result in successful contract performance even with Government intervention.

M.8 Past Performance Confidence Ratings

Past performance will receive one of the following ratings:

Substantial Confidence

The Government has a high expectation that the offeror will successfully perform the required effort.

Satisfactory Confidence

The Government has a reasonable expectation that the offeror will successfully perform the required effort.

Limited Confidence

The Government has a low expectation that the offeror will successfully perform the required effort.

Neutral Confidence

No recent or relevant past performance record is available or the offeror's performance record is so sparse that no meaningful confidence assessment can be made.

M.9 Best-Value Determination

The Government will perform an integrated assessment of proposals considering the evaluation factors described in this section.

Award will be made to the responsible offeror whose proposal represents the best value to the Government.

The Government may determine that a proposal with a higher price provides greater value to the Government if the advantages of that proposal under the non-price factors warrant the additional cost.

The **Source Selection Authority (SSA)** will make the final best-value decision.

(End of Section M)

DRAFT